

In a review of 3,650 domestic stock funds, Morningstar, the Chicago-based researcher of mutual funds, discovered that funds with low turnover ratios generated superior returns compared to funds with higher turnover ratios. The Morningstar study found that, over a 10-year period, funds with turnover ratios of less than 20 percent were able to achieve returns 14 percent higher than funds with turnover rates of more than 100 percent.

This is one of those commonsense dynamics that is so obvious it is easily overlooked. The problem with high turnover is that all that trading adds brokerage costs to the fund, which works to lower your net returns.

Except in the case of nontaxable accounts, taxes are the biggest expense that investors face—higher than brokerage commissions and often higher than the expense ratio of running a fund. In fact, taxes have become one of the principal reasons why funds generate poor returns. “That is the bad news,” according to money managers Robert Jeffrey and Robert Arnott. They are the authors of “Is Your Alpha Big Enough to Cover Its Taxes?” which appeared in the well-respected *Journal of Portfolio Management*. “The good news,” they write, “is that there are trading strategies that can minimize these typically overlooked tax consequences.”⁵⁸

In a nutshell, the key strategy involves another of those commonsense notions that is often underappreciated: the enormous value of the unrealized gain. When a stock appreciates in price but is not sold, the increase in value is an unrealized gain. No capital gains tax is owed until the stock is sold. If you leave the gain in place, your money compounds more forcefully.

Overall, investors have too often underestimated the enormous value of this unrealized gain—what Buffett calls an “interest-free loan from the Treasury.” To make his point, Buffett asks us to imagine what happens if you buy a \$1 investment that doubles in price each year. If you sell the investment at the end of the first year, you would have a net gain of \$0.66 (assuming you’re in the 34 percent tax bracket). Let’s say you reinvest the \$1.66 and it doubles in value by the second year-end. If the investment continues to double each year, and you continue to sell, pay the tax, and reinvest the proceeds, at the end of 20 years you have a net gain of \$25,200 after paying taxes of \$13,000. If, instead, you purchase a \$1 investment that doubles each year and is not sold until the end of 20 years, you would gain \$692,000 after paying taxes of approximately \$356,000.